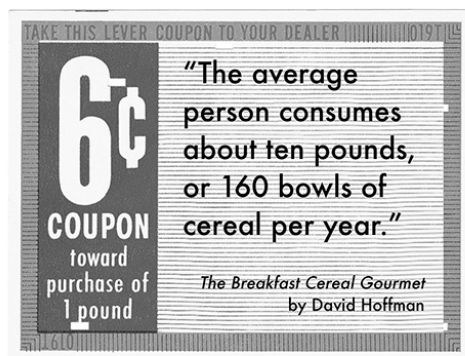


reduce its reliance on couponing. They also lowered the face value of the coupons they did distribute. Within months, two other big-name cereal manufacturers followed suit, with General Mills cutting the prices of nearly half their cereals by 11 percent and Kellogg's dropping the prices of their brands that competed directly with Post cereals by 19 percent. The industry's profitability dropped and sales remained static.

My personal reaction to the decline in cereal coupons was to resort to muffins and toast. With ready-to-eat cereals especially, coupon use remains extremely important to the consumer. CouponInfoNow reports that 75 percent of consumers say they usually use coupons to purchase breakfast cereal.



It isn't just the food and health and beauty coupons that consumers are attached to either. When Macy's department store chain cut back on their coupons in May of 2007, their customer visits dropped dramatically and Macy's had to acknowledge that their customers had been turned off by the move. Within a year, they'd reinstated coupons.

"They reduced the coupons, which everybody loves, and it was a disaster," said Howard Davidowitz, chairman of Davidowitz & Associates,